AeroVironment (AVAV)

Backlog Machine

Analyst: Justin Wen

*Backlog Machine. Funded backlog hit a record $1.5B [8-K guid], up 37% YoY, with $683M in Q1 bookings and a 1.4x book-to-bill. Demand for US tactical drones and counter-UAS is real and contracted. Q4 Proved the Operating Leverage. Q4 FY26: revenue up 30% pro forma to $642M, adjusted EBITDA margin snapped back to 22%, and full-year adjusted EBITDA of $286M beat the high end of guidance [8-K guid]. The volume-fixes-margins thesis finally showed up in numbers. Right Business, Wrong Price. At $121.79 [Mkt 17-Oct-26], the DCF base of $84.26 [Cons] implies 31% downside. FY27 growth is only ~10% with flat adjusted EPS [8-K guid], yet the stock prices a defense supercycle. Healthy company, stretched multiple. Our framework screens it as a **Hold** with a $89.62 blended target, 26% below the current price.*

HOLD	$89.62	-26%	$121.79
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

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Executive summary

Q4 Proved the Operating Leverage. Q4 FY26: revenue up 30% pro forma to $642M, adjusted EBITDA margin snapped back to 22%, and full-year adjusted EBITDA of $286M beat the high end of guidance [8-K guid]. The volume-fixes-margins thesis finally showed up in numbers.

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$480.5M	$0.59	$1.5B	$53.4M	$2.175B mid	-$36M
REVENUE (Q1 FY27)	ADJUSTED EPS (Q1 FY27)	FUNDED BACKLOG	ADJUSTED EBITDA (Q1 FY27)	FY2027 REVENUE GUIDE	FREE CASH FLOW (Q1 FY27)

The moat is structural

Record $1.5B funded backlog, up 37% YoY, with 1.4x book-to-bill and $2.8B total funded plus unfunded backlog

Three scenarios make the valuation range explicit

The DCF values AeroVironment across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	TARGET	UPSIDE
Bear (Conservative)	25%	**$27.82**	-77%
Base	50%	**$84.26**	-31%
Bull	25%	**$162.16**	+33%

Bear ($27.82, -77%): Growth disappoints and multiples compress; the $27.82 target marks the downside case.

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Bull ($162.16, +33%): Execution compounds and the multiple rerates; the $162.16 target marks the upside case.

The probability-blended target implies -26% upside

Blended target: $89.62 per share

A 25% Bear / 50% Base / 25% Bull weighting implies -26% upside from the $121.79 reference price.

$89.62

BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

P/E (fwd) 27.6x [Cons] DCF Base $84.26 [Cons] EV/Revenue (NTM) 3.1x [Cons] DCF implies 31% downside. Paying 27.6x forward earnings for a company guiding flat adjusted EPS is a steep price even for a defense compounder.

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $89.62 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

Record $1.5B funded backlog, up 37% YoY, with 1.4x book-to-bill and $2.8B total funded plus unfunded backlog [8-K guid]

Counter-drone and directed energy: $465M Army LOCUST contract plus $500M Titan IDIQ [8-K guid]

BlueHalo acquisition adds space, cyber, and directed-energy portfolios to the core drone franchise [8-K guid]

What to monitor

Nov 2026. Q2 FY27 Earnings (Two-Sided): Must show organic recovery after Q1's -3.5% ex-acquisition decline and the Switchblade order delays.

Spring 2027. Defense Budget Funding (Positive): Management assumes new defense budget funds their programs; a funding unlock de-risks the FY27 plan.

2026-2027. LOCUST and Titan Ramp (Positive): $465M Army LOCUST award and $500M Titan IDIQ enter production; counter-UAS is the fastest-growing segment.

$480.5M	$0.59	$1.5B	$53.4M
REVENUE (Q1 FY27)	ADJUSTED EPS (Q1 FY27)	FUNDED BACKLOG	ADJUSTED EBITDA (Q1 FY27)

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Financial summary

YEAR	REVENUE	GROSS PROFIT	NET INCOME
2026	$2.0B	$501M	$-265M
2025	$821M	$319M	$44M
2024	$717M	$284M	$60M
2023	$541M	$174M	$-176M

Key risks

Appropriations Timing. Management's FY27 plan assumes the new defense budget funds its programs starting spring 2027. Any delay in appropriations pushes the back-half-loaded growth plan further out. [8-K guid]

Switchblade Volatility. Switchblade sales fell $56.9M in Q1 FY27 on order delays. The company's flagship loitering munition is lumpy and timing-dependent. [8-K guid]

Controls and Execution. The Q3 FY26 restatement included an $89M goodwill impairment on the cancelled SCAR space program plus a disclosed material weakness in internal controls. New CFO is still settling in. [10-Q Q1 FY27]

Investment view

A Q2 FY27 quarter with organic revenue growth and Switchblade order recovery would lift Trend and Growth. A spring 2027 appropriations delay or another controls issue would confirm the Sell case and push the stock toward the $84.26 base.

Hold. The $89.62 blended target implies -26% upside, balancing the $27.82 / $84.26 / $162.16 Bear / Base / Bull targets.

Counter-drone and directed energy: $465M Army LOCUST contract plus $500M Titan IDIQ [8-K guid]

BlueHalo acquisition adds space, cyber, and directed-energy portfolios to the core drone franchise [8-K guid]

Upcoming catalysts

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